

market size is at \$160 billion, with another \$35 billion in automotive software development, and medical devices at \$48 billion.

On healthcare, a big component is outcome-based medicines, something that is already a big trend in the West. The normal process is to give a patient a list of medicines if she is in the midst of a serious health issue. That is not just expensive, but comes without any assurance of a cure. With an outcome-based approach, timely interventions are possible. "The post-operative care can be done remotely using connected monitoring devices. It is a huge opportunity in a market like the US where medical costs are high with not everyone being covered [under medical insurance]," explains Ragha-

multiple, which is exceptionally high," says Elixir's Mehta. On the competitive landscape, he says Tata Elxsi has the benefit of its pedigree, an early-mover advantage, and the ability to showcase its projects. "In this kind of a business, competition will come and go but everything really comes down to client satisfaction. We are speaking of developing design, which is critical to the success of the customer. They will not want to experiment with new players, who may not have the same level of talent and capabilities," he explains, attributing Tata Elxsi's high operating margins to this stickiness.

The current business environment is what makes the company's business model interesting for several reasons. Pai believes there is a confluence that exists,



“ [Tata Elxsi] is positioned in the top quadrant in automotive, communication and broadcast (OTT) engineering services globally”

APURVA PRASAD
INSTITUTIONAL RESEARCH ANALYST,
HDFC SECURITIES



“ We have seen Tata Elxsi hitting a purple patch in the last two to three years and that is also a factor of being in the right place at the right time”

DIPAN MEHTA
DIRECTOR, ELIXIR CAPITAL

van. Prasad says that the healthcare vertical has grown ahead of peers such as L&T Technology Services, Cyient and ALTEN. "Telemed is expected to be a big driver and Elxsi's strong credentials in video delivery are complementary," he says, adding that the company's high margins so far have been on account of "lowest cost of delivery, highest offshore and lowest attrition".

WHAT LIES AHEAD

While the company saw its revenues go up in Q2FY23, it was accompanied by higher expenses, leading to a 6 per cent dip in net profit. This led to its stock price taking a hit. "It [the share price] has rallied a bit ahead of itself, and from time to time it does get overvalued. Over the next two to three quarters, it will move sideways or see a slightly declining movement as earnings catch up and there is a slight compression of its P/E

where the transformation companies are undergoing with respect to customer experience, business models or just efficiency will be determined by design. "For that, you need a lot of people to execute what traditionally does not exist. That kind of skill set and scale can come only out of India," he says. The importance of good product engineering, for instance, will become apparent once more and more industries adopt a model wherein customers pay for only the services they want. "Else, it [ER&D] would have been just IT," says Pai, adding the transformation will be driven by the product. By the looks of it, Tata Elxsi has found a sweet spot and one that could determine a robust growth path for a while to come. And if autonomous cars become road-worthy in India, Raghavan may not have to make the arduous drive back home after a long flight. **BT**

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